

Morningstar is an investment research firm that is particularly well known for its fund information.

Identifying Goals and Risk Tolerance

Before acquiring shares in any fund, you need to think about why you are investing. What is your goal? Are long-term desired capital gain, or is a current earning preferred? Will the money be used to pay for college expenses, or to supplement a retirement that is decades away? Identifying a goal is important because it will help you hone in on the right fund for the task. For really short-term goals, money market funds may be the right choice, for goals that are few years in the future, bond funds may be appropriate. For long-term goals, stocks funds may be the way to go. Of course, you must also consider the issue of risk tolerance. Can you afford and accept dramatic swings in portfolio value? If so, you may prefer stock funds over bond funds. Or is a more conservative investment warranted? In that case, bond funds may be the way to go.

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The next question to consider include "are you more concerned about trying to outperform your fund's benchmark index or are you more concerned about the cost of your investments?" If the answer is "cost," index funds are likely the right choice for you.